IN THE UNITED STATES BANKRUPTCY COURT
FOR THE WESTERN DISTRICT OF VIRGINIA
ABINGDON DIVISION

IN RE:	*	
Wanda Cox	*	Case No. 22-XXXXX
Debtor	*	
Wanda Cox	*	
Plaintiff	*	
	*	A.P. No. 24-XXXXX
vs.	*	
	*	
Finance One, N.A.	*	
Defendant	*	

Complaint for Violation of the Discharge Injunction &
Request for Contempt of Court & Damages

Comes now Wanda Cox, Debtor, and complains against the Defendant Finance One, N.A. as follows:

1. This is an adversary proceeding brought pursuant to Bankruptcy Rule 7001.

2. This Court has jurisdiction of this proceeding pursuant to §1334 of title 28 of the U.S. Code.

3. This adversary proceeding constitutes a core proceeding as defined in title 28 U.S.C. §157(b)(2).

PARTIES

4. The Debtor Wanda Cox is a resident of Wytheville, Virginia, located in Wythe County.

5. The Defendant Finance One, N.A. is a federally insured depository institution.

FACTS

6. The Debtor filed a Chapter 7 Bankruptcy petition on July 10, 2022. Docket Entry

7. The Debtor listed Finance One, N.A. as a creditor to which the Debtor owed a loan secured by a lien upon the Debtor's vehicle, a 2012 Toyota Camry.

8. There is no indication in the court record that any mail sent to the Defendant at the address listed on the matrix was returned. As such, service of the bankruptcy pleadings is proper.

9. On the date the bankruptcy case was filed as a part of her original schedules, the Debtor signed a Statement of Intention indicating her intention to 'retain the collateral and reaffirm the debt pursuant to 11 USC § 521(a)(2).

10. On or about September 1, 2022, the Defendant sent to Counsel for the Debtor a proposed Reaffirmation Agreement, which the Debtor and Counsel both signed and returned to the Defendant within 5 days of the 341 hearing. Counsel returned the Reaffirmation Agreement to the Defendant in accordance with the Defendant's instructions.

11. The Court issued the Discharge Order on October 13, 2022.

12. The Defendant failed to file the Reaffirmation Agreement that both the Debtor and Counsel signed prior to entry of the Chapter 7 discharge order.

13. The Debtor is and has continued to be, since the time she filed her Chapter 7 petition, current on her payments pursuant to the note she signed with the Defendant.

14. Additionally, the Debtor has learned that the Defendant has reported her loan as being "in default" on her credit report.

15. Finance One repossessed the Debtor's Toyota Camry on or around May 1, 2024.

CAUSE OF ACTION

16. The Defendant's repossession of the Debtor's 2012 Toyota Camry is a willful and intentional violation of the discharge injunction, as the Defendant knew of the bankruptcy case and had participated in the case by preparing a reaffirmation agreement.

17. Similarly, the Defendant's negative reporting on the Debtor's credit report is also a willful and intentional violation of the discharge injunction as it is an attempt to harass or pressure the Debtor into paying.

18. While Virginia is a state that recognizes ipso facto clauses[1] (clauses that state the filing of a bankruptcy is a per se defaulting event) in automobile contracts, 11 USC § 521(a)(6) provides the means of making the ipso facto clause unenforceable:

> "(6) in a case under chapter 7 of this title in which the debtor is an individual, not retain possession of personal property as to which a creditor has an allowed claim for the purchase price secured in whole or in part by an interest in such personal property unless the debtor, not later than 45 days after the first meeting of creditors under section 341(a), either—
>
> (A) enters into an agreement with the creditor pursuant to § 524(c) with respect to the claim secured by such property; [...]"

19. Further, 11 USC § 362(h) provides the legal mechanism for continuation of the automatic stay to apply to collateral, with which the Debtor here complied[2] by signing her Statement of Intentions and filing such the date she filed the bankruptcy case and attempting reaffirmation of the loan to the Defendant.

20. The Debtor complied with her obligations under 11 USC § 521(a)(6) by signing and returning to the Defendant sooner than 45 days after her 341 hearing her signed Reaffirmation Agreement; and the Debtor kept her payments to the Defendant for the 2012 Camry current, the result of which is the Defendant had no legal right to repossess the Debtor's car[3].

---

[1] "Ipso facto clauses are unenforceable in some states, but they are not prohibited by Virginia law. Unlike other types of default, "the filing of a bankruptcy petition . . . cannot be cured." DaimlerChrysler Fin. Servs. Ams., LLC v. Jones (In re Jones), 591 F.3d 308, 313 (4th Cir. 2010)."

[2] 11 USC § 362(h):
"(h)
(1) In a case in which the debtor is an individual, the stay provided by subsection (a) is terminated with respect to personal property of the estate or of the debtor securing in whole or in part a claim, or subject to an unexpired lease, and such personal property shall no longer be property of the estate if the debtor fails within the applicable time set by section 521(a)(2)—
(A) to file timely any statement of intention required under section 521(a)(2) with respect to such personal property or to indicate in such statement that the debtor will either surrender such personal property or retain it and, if retaining such personal property, either redeem such personal property pursuant to section 722, enter into an agreement of the kind specified in section 524(c) applicable to the debt secured by such personal property, or assume such unexpired lease pursuant to section 365(p) if the trustee does not do so, as applicable; [...]."

[3] Footnote 15: "Ford seems to confuse the concept of a valid lien with a valid ipso facto clause. [...] Ford's in rem rights were protected because "[i]f the debtor does not default, the creditor receives the full benefit of the bargain despite bankruptcy." Home Owners Funding Corp. of Am. v. Belanger (In re Belanger), 962 F.2d 345, 349 (4th Cir. 1992). Should Nuckoles breach the contract by "omitting payment, allowing insurance to lapse, or failing to maintain the collateral properly, the creditor can repossess the collateral and sell it" without running afoul of the discharge injunction. Id. Ford instead enforced an invalid ipso facto clause, a contractual term that had been annulled. [...] The fact that Nuckoles received a discharge on her personal liability does not invalidate Ford's lien,

21. The Defendant violated the discharge injunction of 11 USC 524(a)(2)[4] for which there was no fair ground of doubt[5], as the Debtor's personal liability on the loan was discharged and the Debtor complied with her obligations to keep the collateral. Nevertheless, the Defendant repossessed the Debtor's car and reported falsely and illegally on the Debtor's credit report in an attempt to coerce the Debtor into paying on the debt.

PRAYER FOR RELIEF

Wherefore, the Plaintiff-Debtor respectfully asks the Court, using its authority under 11 U.S.C. § 105(a), to

a) Order that the Debtor's personal liability was discharged and that the unfiled reaffirmation agreement is not enforceable

b) Order the Defendant to immediately return to the Debtor her 2012 Toyota Camry;

c) Find that the Defendant has willfully violated the discharge injunction due to its repossession of the 2012 Toyota Camry and the negative credit reporting against the Debtor;

d) Cease credit reporting and any further collection activity against the Debtor; order that the Defendant be responsible for the Debtor's fees and costs (legal and otherwise) under 11 U.S.C. § 362(k)(1) in having brought this action; order the Defendant to pay appropriate damages, including actual and emotional damages, to the Debtor for the damages the Debtor has suffered as a result of Defendant's intentional, willful and unlawful activities; award punitive damages or sanction the Defendant for its contempt in a sum sufficient to deter future such

---

nor does it revive an invalid ipso facto clause. "The bar to recovering any [personal] deficiency is the same after bankruptcy as it would have been had the collateral been sold during the bankruptcy proceedings." Id. (citation omitted)." *Nuckoles v. Ford Motor Credit Co. LLC (In re Nuckoles)*, 546 B.R. 651 (Bankr. W.D. Va. 2016).

[4] 11
USC 524(a)(2): "(a) A discharge in a case under this title—
(2) operates as an injunction against the commencement or continuation of an action, the employment of process, or an act, to collect, recover or offset any such debt as a personal liability of the debtor, whether or not discharge of such debt is waived."

[5] This is the legal standard established by Taggart v. Lorenzen for civil contempt. 139 S. Ct. 1795 (2019).

actions; and for such other relief as is just and equitable.

Respectfully Submitted:

WANDA COX

[COUNSEL NAME]
[VSB Number:] [Mailing Address]
[Telephone Number] [Email address]
By:/s/ Counsel